

Q2 Job Vacancies: drifts lower

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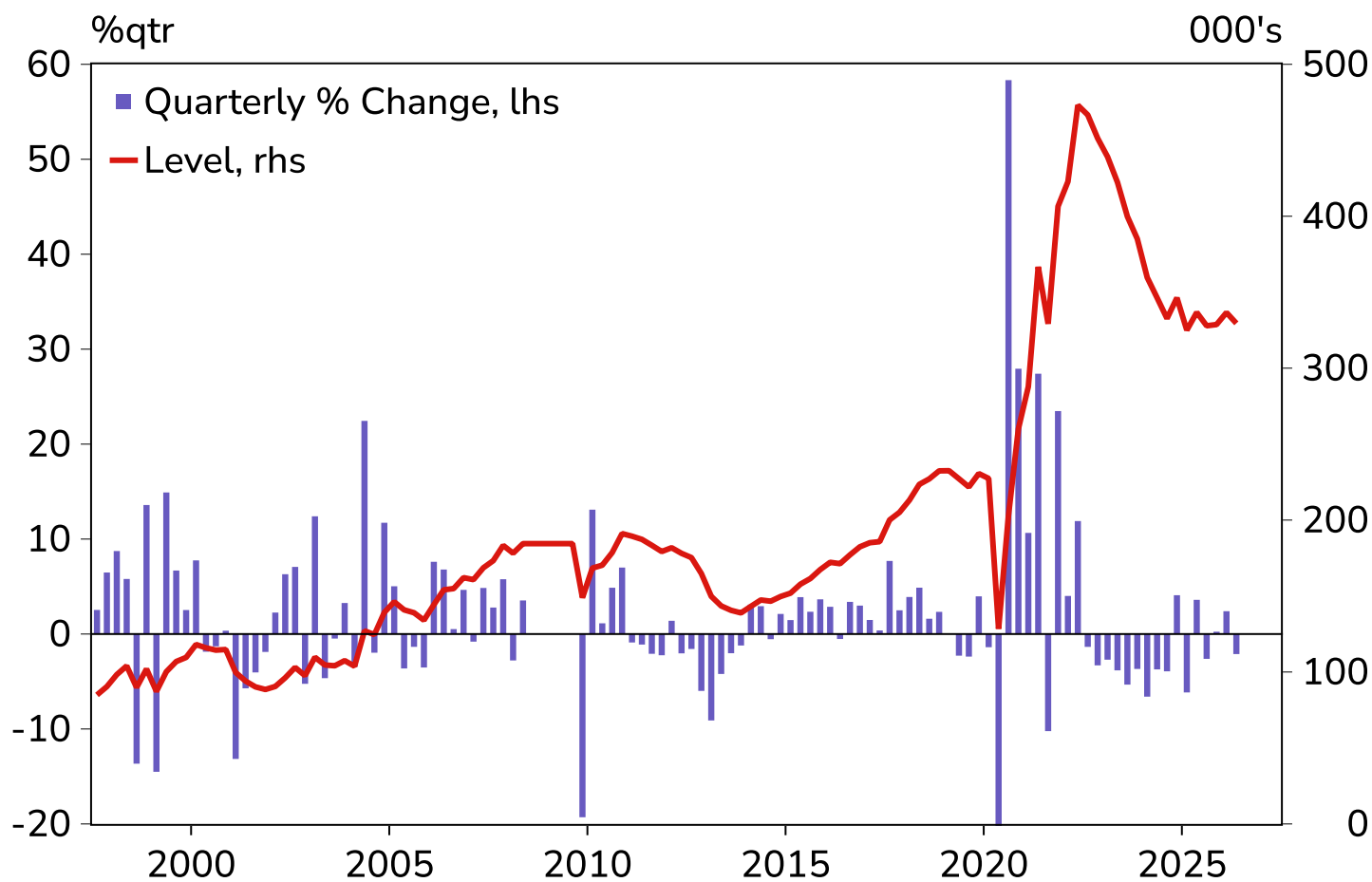


The number of job vacancies fell by 7.1k (–2.1%) between February and May, a slightly smaller decline than our expectation of a –3.5% quarterly fall. The February estimate was also revised lower, to 336.6k from 338.0k. Overall, today's result was broadly consistent with the softness signalled by the monthly partial indicators.

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Despite the declines, vacancies have largely moved sideways since early 2025. Between 2022 and 2024, vacancies fell rapidly from their post-pandemic peak as labour supply recovered and labour market imbalances eased. The subsequent stabilisation is somewhat surprising given the gradual softening that has emerged in the labour market over the past year. Overall vacancies are still around 40% above pre-pandemic levels.

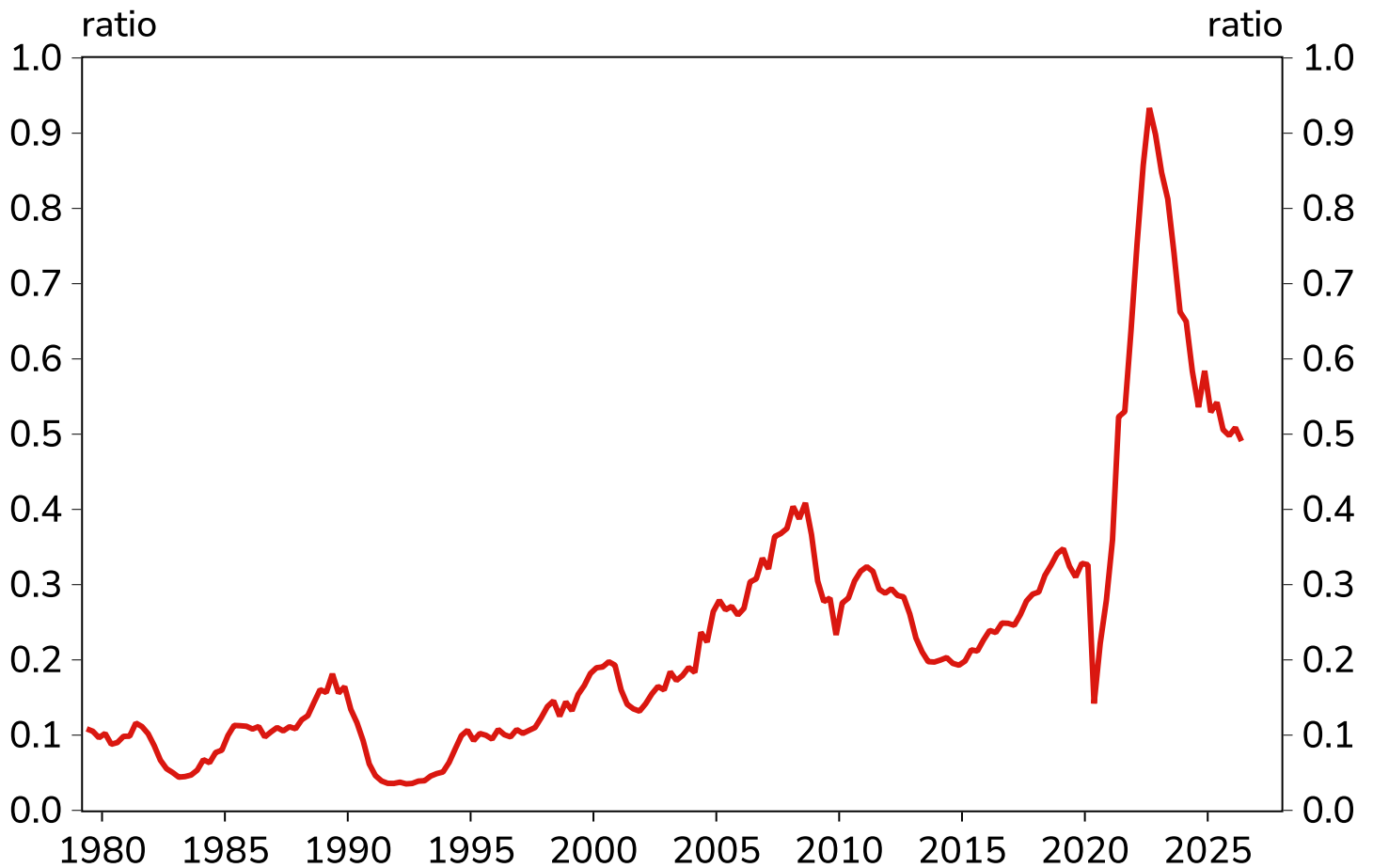
Job Vacancies



Source: ABS, Macrobond, Westpac Economics

The vacancy-to-unemployment ratio – a key measure of labour market tightness closely monitored by the RBA – continued its gradual and somewhat uneven decline, easing from 0.51 in February to 0.49 in May. This reflected both the fall in vacancies and a 1.4% increase in the number of unemployed people over the period. While the move points to a further easing in labour market tightness, the ratio remains well above its historical average of around 0.2.

Vacancy-to-Unemployment Ratio

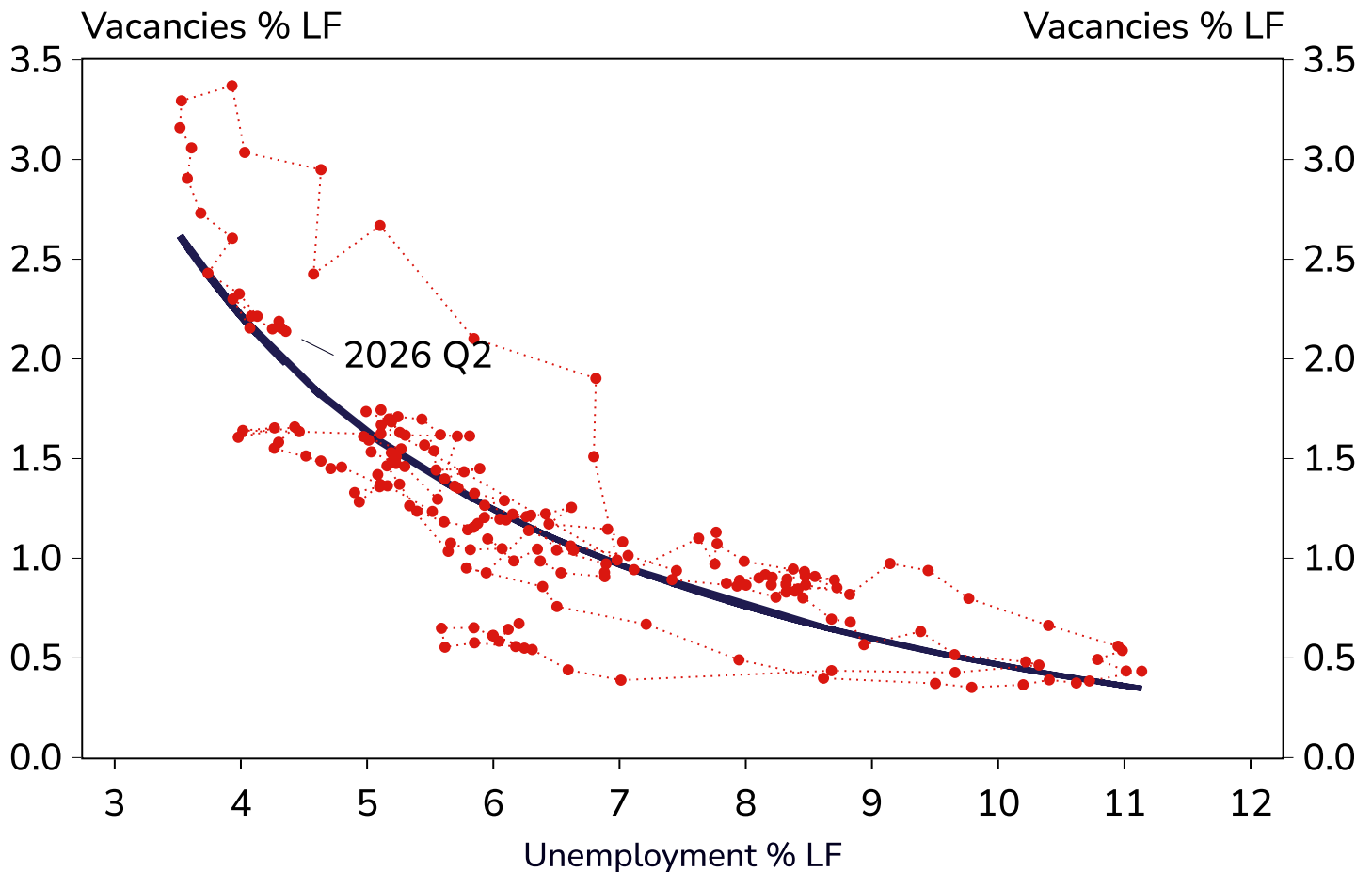


Source: ABS, Macrobond, Westpac Economics

The Beveridge curve can help us place recent developments in a historical context – comparing the relationship between vacancies and unemployment, each as a share of the labour force to better control for growth in the size of the overall labour market. Between 2022 and 2024, the labour market moved down the ‘steeper’ part of the Beveridge curve, where substantial declines in vacancies occurred alongside only modest increases in unemployment.

Vacancies have nudged lower over the past three months and at the same time the size of the labour force continued to grow. This drove the vacancy rate tick lower in the quarter but it was managed without a large increase in the unemployment rate suggesting that the labour market continues to operate around the steeper part of the Beveridge curve, in line with what is expected based on longer-run historical relationships.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

By industry, 14 of the 18 industries saw job vacancies decline over the three months. The largest fall was seen in financial & insurance services (–21.2%). This was followed by weakness in a string of consumer facing sectors including: food & accommodation (–16.3%); retail trade (–15.3%); and arts & recreation services (–13.3%). Areas with rises include manufacturing (16.7%), information, media & technology (9.1%), wholesale trade (5.3%) and mining (1.0%).

Overall market services vacancies fell –8.4%, the strongest since mid-2023. Other parts of the market sector saw vacancies rise 2.6%. Non-market sector vacancies fell –3.5%, with the largest declines concentrated in education & training (–6.8%)

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